

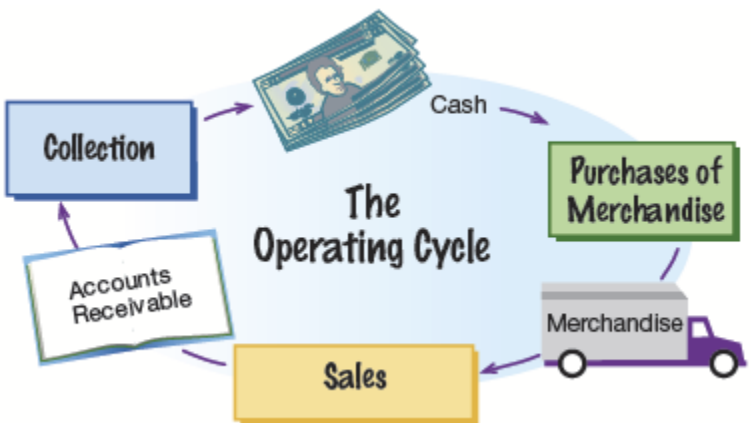
5-1a Operating Cycle

The operating cycle (The process by which a company spends cash, generates revenues, and receives cash from customers.)

is the process by which a company spends cash, generates revenues, and receives cash from customers. The operating cycle of a service and retail business differs in that a retail business must purchase merchandise for sale to customers. The operating cycle for a retail business is shown in [Exhibit 1](#).

Exhibit 1

The Operating Cycle for a Retail Business



The time in days to complete an operating cycle differs significantly among retail businesses. Grocery stores normally have short operating cycles because of the nature of their merchandise. For example, many grocery items, such as milk, must be sold within their expiration dates of a week or two. In contrast, jewelry stores often carry expensive items that are displayed months before being sold to customers.